

Global Strategy: Class #3

Distances in Global Markets

European Super League

Leandro “Leo” Pongeluppe

The Wharton School – Management Department

pongelup@wharton.upenn.edu / www.LeandroPongeluppe.com



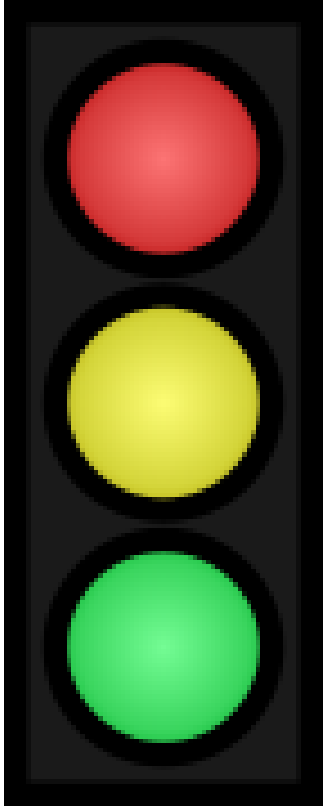
Last Class

- Should we go abroad? What are some of the uncertainties/risks of going abroad? **CIA (Comparative Institutional Analysis) Framework.**
 - Institutions are the “rules of the game”
 - They can be formal or informal
 - They can be formed top-down or bottom-up
 - They can be extractive or inclusive
 - Comparative Institutional Analysis (CIA) should be performed
 - Cross-country and Intertemporally
 - Corruption
 - Different types of corruption with different effects on firms and countries

TODAY

- Where should we go? **CAGE Framework.**
 - *Navigating distances in global markets*

What We Are Trying to Solve in the Global Module

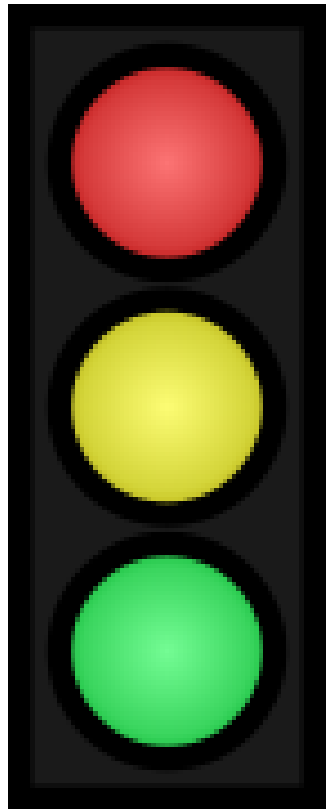


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Grolsch Beer
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

- Walmart in China
- Tata Group
- Natura



[Video Link](#)

Anthropology...

What are the main
characteristics of the
Nacirema people?

Miner (1956). "Body Ritual
Among the Nacirema"

American Anthropologist, 58(3):
503-507.





Recall, Friedman (2005) “The World is Flat,” claims that technology and trade opportunities were shortening “distances”

However, contextual intelligence (Khanna, 2014) is fundamental.

As described by anthropology studies, international managers should search for the “native point of view” (Malinowski, 1948), and understand situations from the perspective of locals.

Distances are still very relevant... and they are not only *geographic*...

CAGE Framework

CULTURAL

Distinct social norms, languages, traditions, customs.

ADMINISTRATIVE AND POLITICAL

Distinct legal, regulatory, and political conditions.

GEOGRAPHIC

Remoteness, difficulty of physical access and transportation.

ECONOMIC

Distinct economic conditions affecting costs, consumer incomes, and information.

Always consider the distances in relation to the industry in the analysis!

CPA (Country Portfolio Analysis) is a flawed approach

- Focuses only on economic dimensions, potential sales, and revenue opportunities
- Ignore the potential risks of operating in international markets
- Does not consider additional types of “distances” (CAGE) that matter and affect the internationalization decision of firms
- Misguides managers in their decision on where to operate abroad





EUROPEAN

SUPER LEAGUE

Recall The *Five Forces Model*

ESL would make entry more difficult for mid and lower-level **teams**!

THREAT OF NEW ENTRANTS

Would increase WTP from **fans** since more recurrent derby games would happen.

BARGAINING POWER OF SUPPLIERS

RIVALRY AMONG EXISTING COMPETITORS

BARGAINING POWER OF BUYERS

Potentially reduce WTS from **players**, since they would be interested in playing for the best teams.

THREAT OF SUBSTITUTE PRODUCTS OR SERVICES

No **other league** would be as competitive... Also, ESL teams would not be subject to **UEFA** anymore.



[Video Link](#)



FAILED

in 48h

EUROPEAN
PER LEA

Can *Distances* Explain the Failure of the European Super League?

CULTURAL

(Distinct social norms,
languages, traditions,
customs)

ADMINISTRATIVE AND POLITICAL

(Distinct legal, regulatory,
and political conditions)

GEOGRAPHIC

(Remoteness, difficulty of
physical access and
transportation)

ECONOMIC

(Distinct conditions
affecting costs, incomes,
and information)

Geographic?



<https://www.bbc.com/news/world-middle-east-56505413>



GEOGRAPHIC
(Remoteness, difficulty of
physical access and
transportation)

Geographic distances usually are more relevant
in contexts where there is physical
transportation of low value-to-weight products
that require **timely and cost-efficient delivery**.

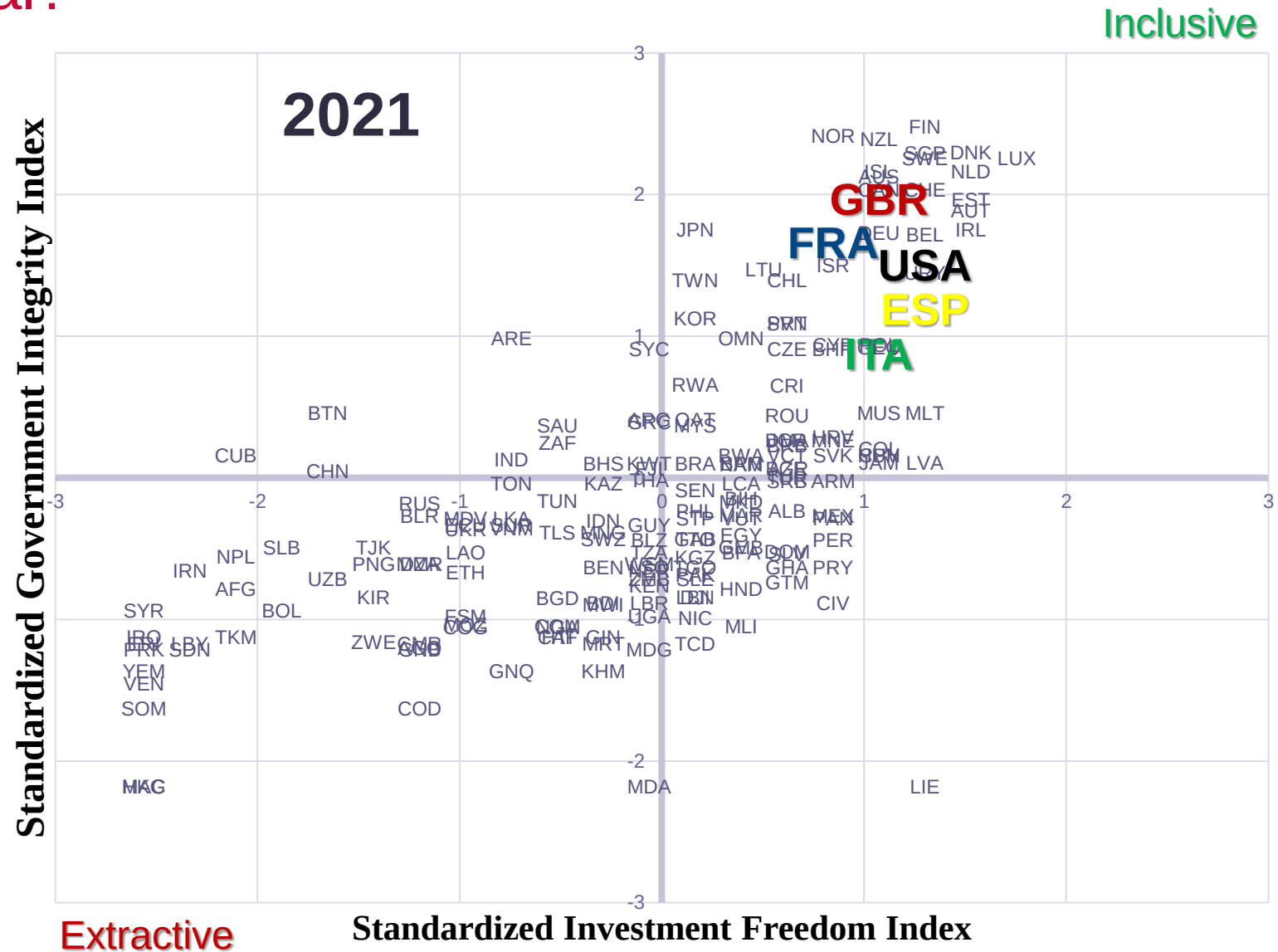
Administrative and Political?

ADMINISTRATIVE AND POLITICAL

(Distinct legal, regulatory,
and political conditions)

Administrative and Political distances are usually more relevant when there are governments, regulators, politicians, or law enforcers who can apply discretionary actions to increase entry barriers or thwart the operations of foreign entrants.

Such distances are reduced when countries are part of a common trade bloc or union.



Source: World Bank TCdata360. Heritage Index of Economic Freedom.

Economic?

ATTENTION, distances must be analyzed in relation to the focal industry!

Otherwise, you might have similar macroeconomic levels, but different consumption patterns.

	GDP per capita (current US\$)	Depth of credit information index (0=low to 8=high)	Start-up procedures to register a business (number)
United Kingdom	\$ 43,787.47	8	4
Spain	\$ 29,272.80	7	7
Italy	\$ 33,920.48	7	7
France	\$ 41,181.78	6	5
United States	\$ 65,053.82	8	6

Note: Average between 2018 and 2021.



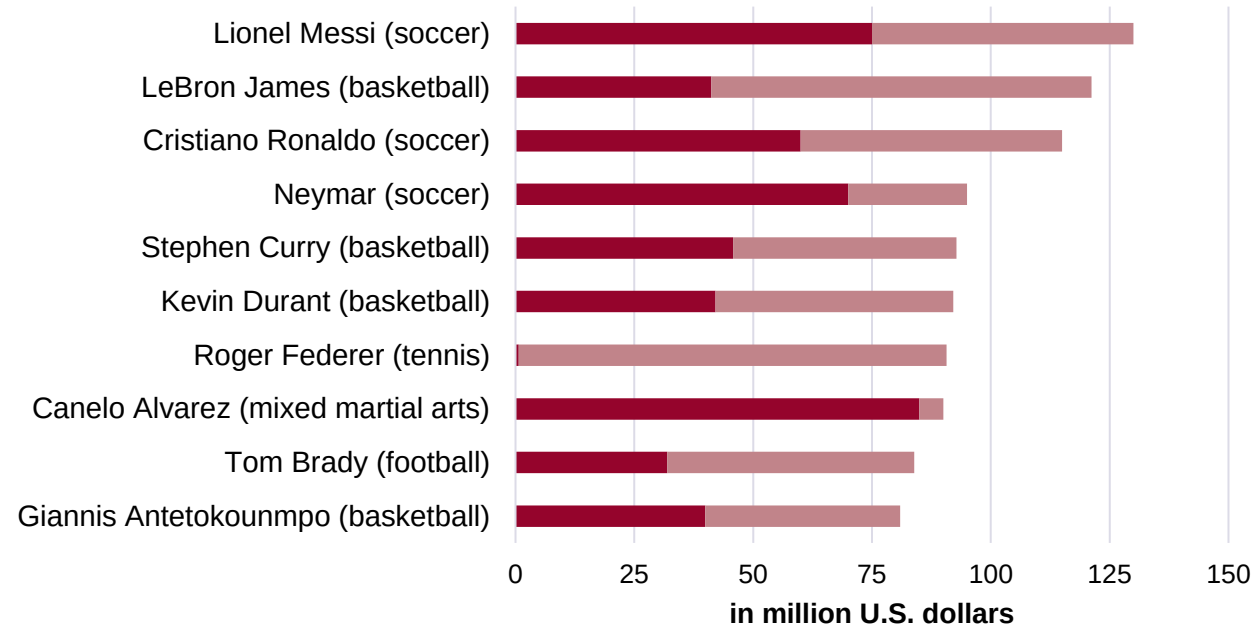
ECONOMIC
(Distinct conditions
affecting costs, incomes,
and information)

Valuable resource to quickly collect comparative
country-level data:

<https://databank.worldbank.org/source/world-development-indicators> and <https://tcdata360.worldbank.org/>

Economic?

World's highest paid athletes 2021/22
(in million U.S. dollars)



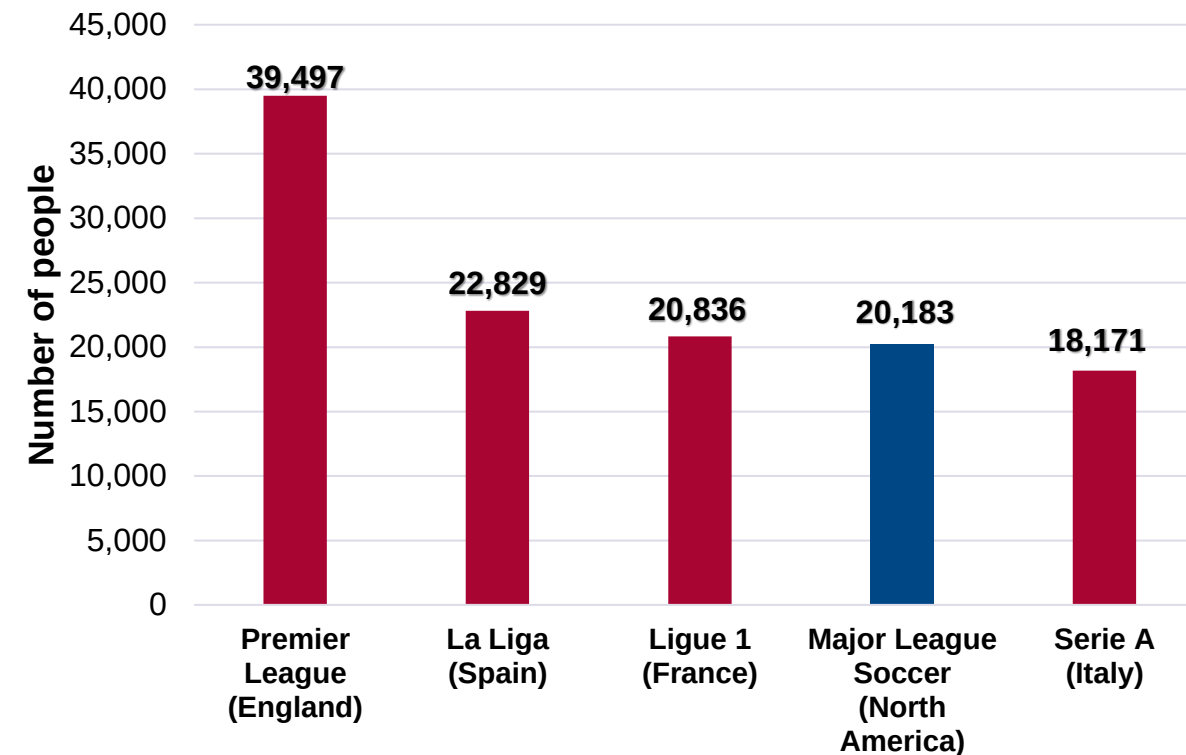
■ Salary/Winnings ■ Endorsements

Note: Forbes, May 2022. Data from Statista.

ECONOMIC
(Distinct conditions
affecting costs, incomes,
and information)

Economic distances are usually more relevant in contexts where there is substantial disparity in economic development (e.g., multinationals from developed countries expanding into developing markets).

Average attendance of major football/soccer leagues around the world 2021/22
(in number of people)



Note: weltfussball.de, May 2022. Data from Statista.

Cultural?

CULTURAL
(Distinct social norms,
languages, traditions,
customs)

Famous way to measure differences in culture:
the **Hofstede cultural dimensions (“six Ds”)**

(See <https://www.hofstede-insights.com/product/compare-countries/> and <https://corporatefinanceinstitute.com/resources/knowledge/other/hofstede-s-cultural-dimensions-theory/>)

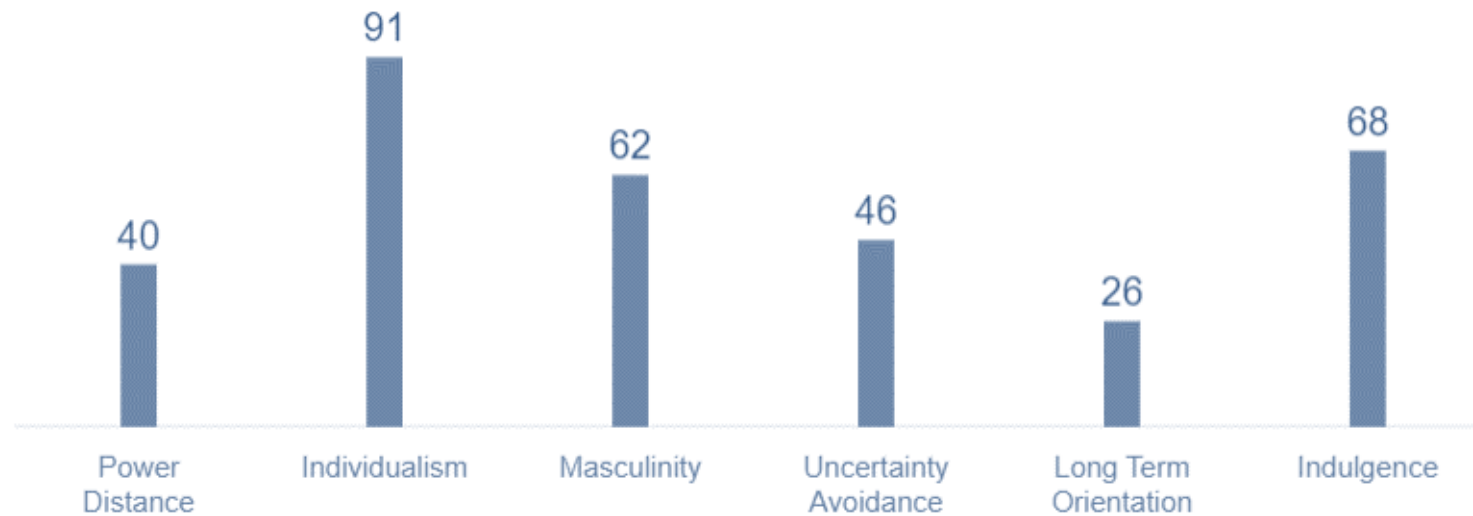


Hofstede's Cultural Dimension Comparison

CULTURAL
(Distinct social norms,
languages, traditions,
customs)

Compare countries using

<https://www.hofstede-insights.com/product/compare-countries/>



OR



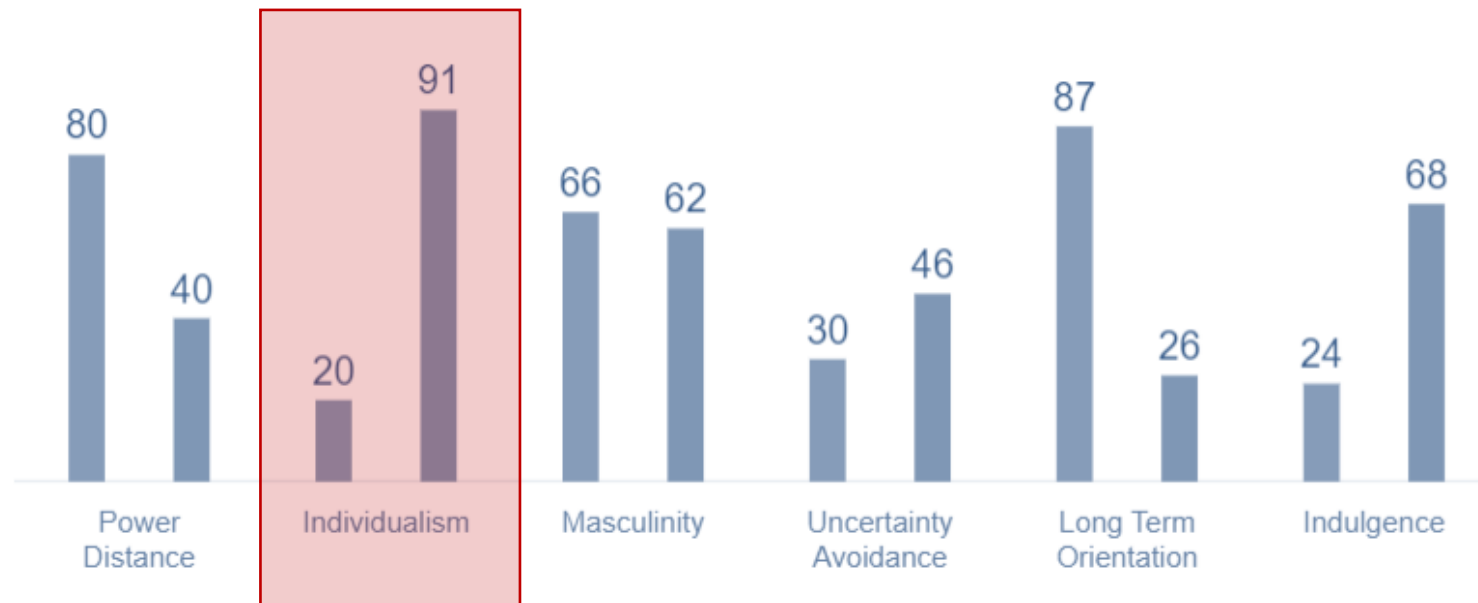
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Freakonomics
Radio.
Episode 470
“[The Pros and Cons of America’s \(Extreme\) Individualism](#)”



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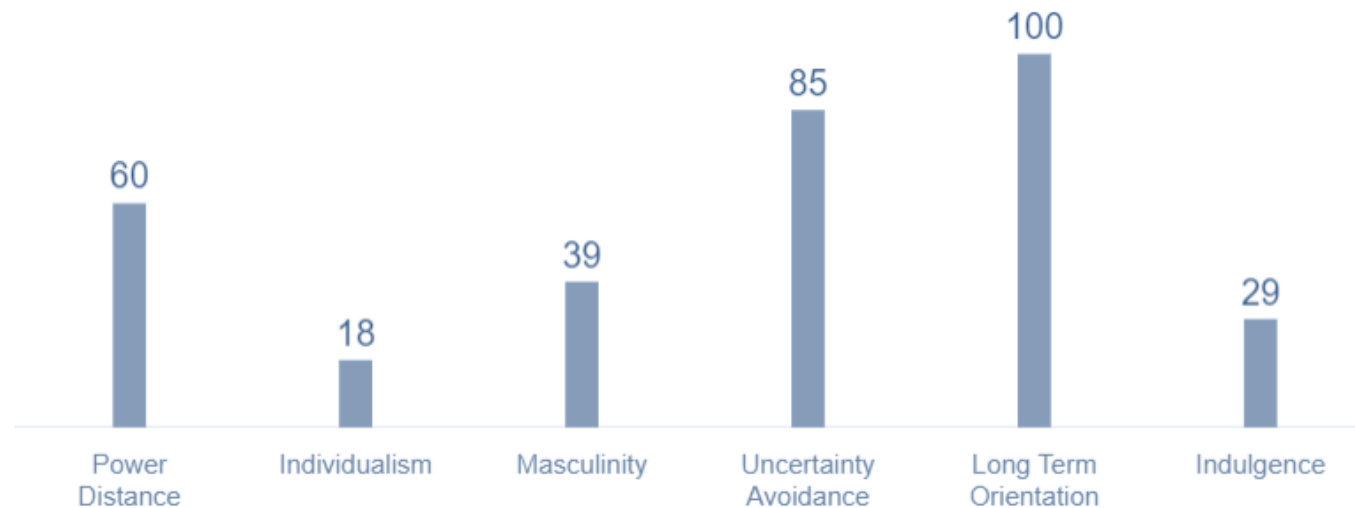


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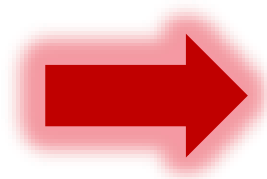
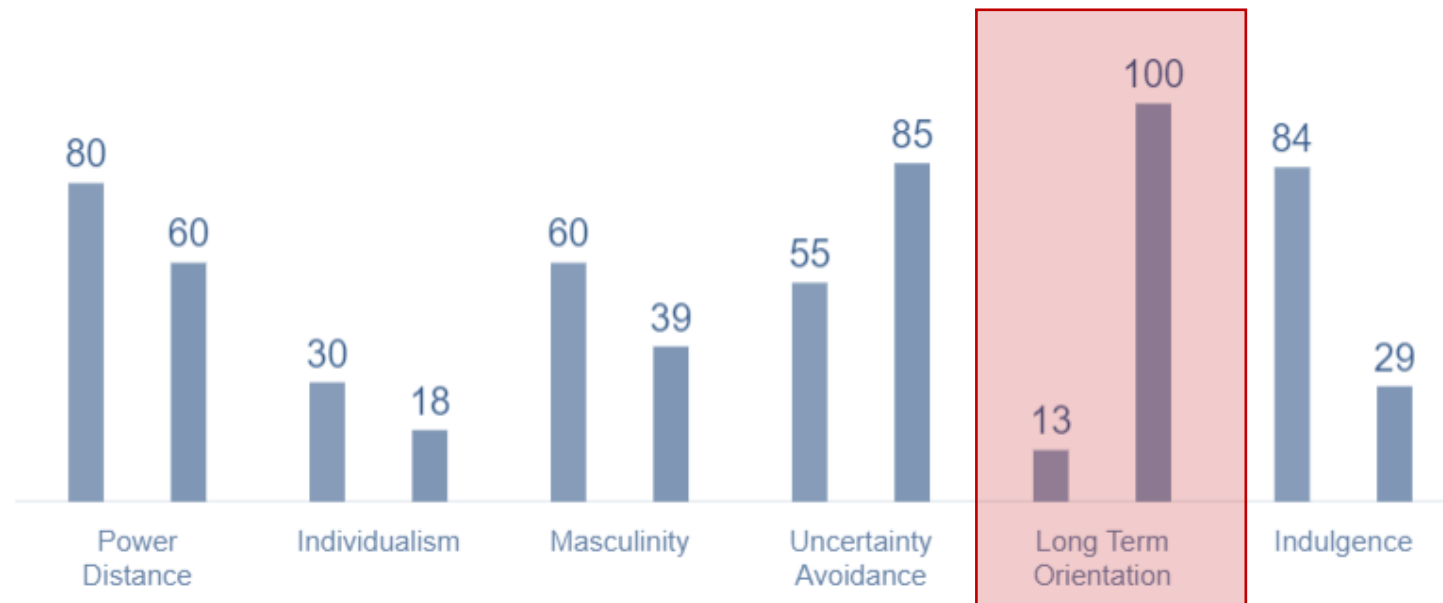
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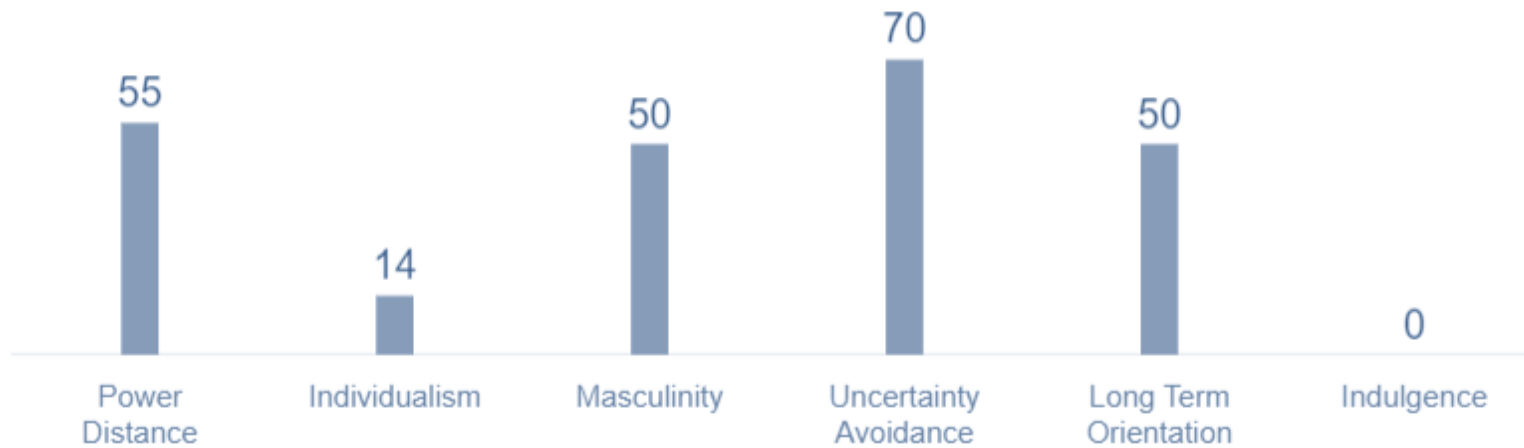


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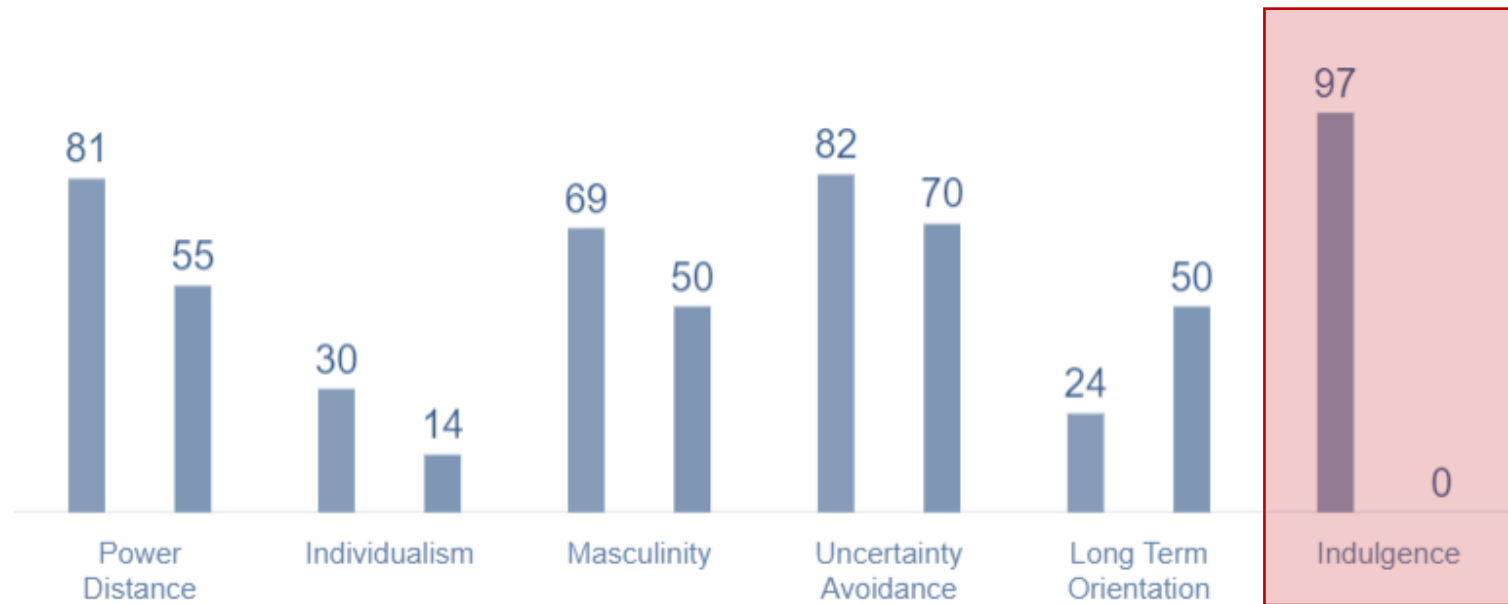
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Hofstede's Cultural Dimension Comparison

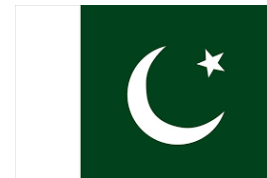
CULTURAL
(Distinct social norms,
languages, traditions,
customs)

Compare countries using

<https://www.hofstede-insights.com/product/compare-countries/>



OR





EUROPEAN

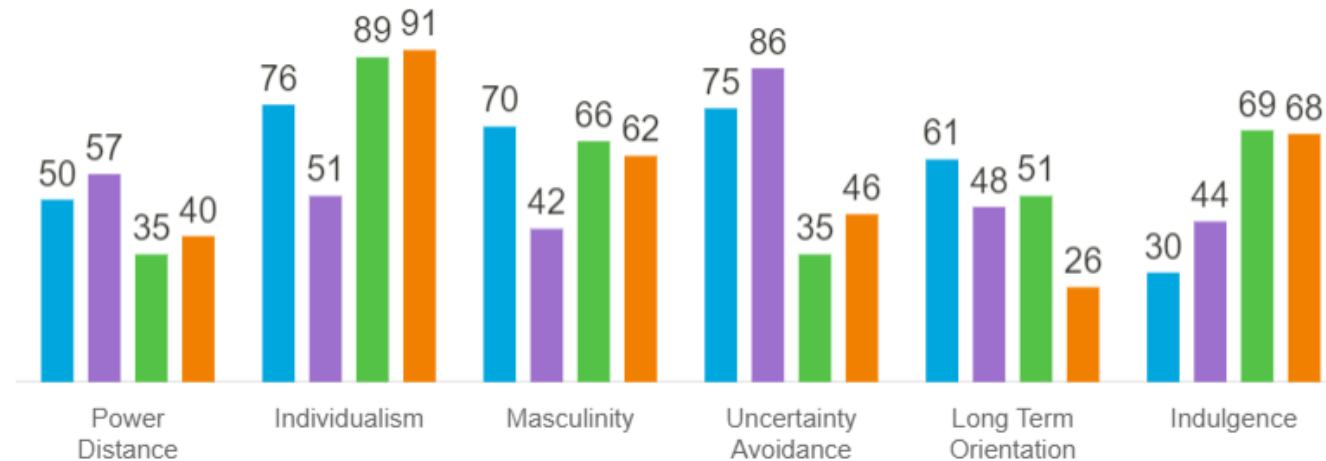
SUPER LEAGUE

Cultural?

CULTURAL
(Distinct social norms,
languages, traditions,
customs)

**BUT, countries are quite similar in Hofstede's
six dimensions!?**

Italy × Spain × United Kingdom ×
United States ×



Cultural?

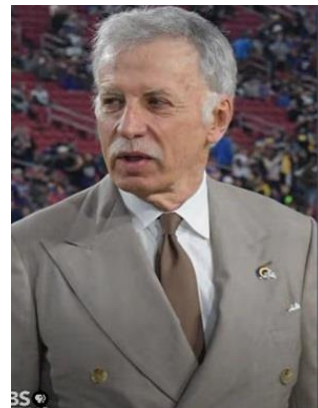
CULTURAL
(Distinct social norms,
languages, traditions,
customs)

Some key investors were linked with US sports teams and tried to replicate the US model by developing ESL in a **top-down way...**



**TEAMS OWNED BY
JOEL GLAZER**

- Manchester United F.C. 
- Tampa Bay Buccaneers 



**TEAMS OWNED BY
STAN KROENKE**

- Arsenal F.C. 
- Los Angeles Rams 
- Denver Nuggets 



**TEAMS OWNED BY
JOHN HENRY**

- Liverpool F.C. 
- Boston Red Sox 

Cultural?

CULTURAL

(Distinct social norms,
languages, traditions,
customs)

However, key cultural differences related to **norms and customs in European football** are associated with **individual identities!**
That is, **activity or sector-specific norms**, generally not picked by broad, country-level cultural measures.



Source: <https://www.cnbc.com/2021/04/21/european-super-league-plan-on-the-brink-of-collapse-after-condemnation.html>

Cultural?

CULTURAL
(Distinct social norms,
languages, traditions,
customs)

Cultural distances are usually more relevant when the focal activity of the expanding firm intersects with local traditions, customs, taboos, religions, and national and individual identities at the target country.

It connects with the Stakeholder Management Framework we will see in class 7.



Source: <https://www.cnbc.com/2021/04/21/european-super-league-plan-on-the-brink-of-collapse-after-condemnation.html>



[Video Link](#)

Liability of Foreignness (LoF)

- What is the cost of being foreign?
 - Representative US sample.
 - 3,010 participants x 2 firms x 5 types (foreign, price, labor, country of origin, private or public)
 - Which one is your preferred acquirer?**

VARIABLES	(1) dvbin	(2) dvbin	(3) dvbin	(4) dvbin
Foreign	-0.158*** [0.00727]	-0.159*** [0.00727]	-0.156*** [0.00708]	-0.156*** [0.00708]
Price		0.000344*** [5.32e-05]		0.000346*** [5.21e-05]
Labor force			8.02e-05*** [2.30e-06]	8.02e-05*** [2.30e-06]
Observations	30,100	30,100	30,100	30,100
R-squared	0.016	0.017	0.066	0.067
Adj R^2	0.0161	0.0174	0.0660	0.0673

Notes: Dependent variable is a binary variable indicating if the option was selected as the preferred acquirer. Clustered standard errors (by individual) in brackets

16% less likely to be chosen

0.035% more likely to be chosen for each additional U\$1M

0.008% more likely to be chosen for each additional worker

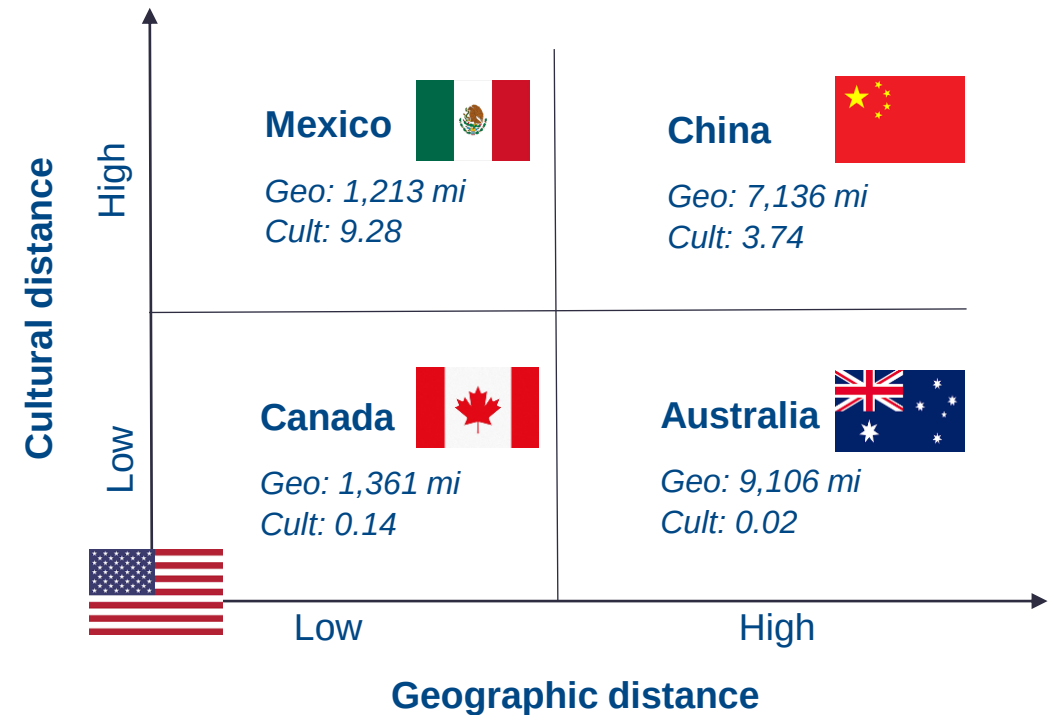
To compensate for the LOF:

- Pay over \$450M more than a domestic firm
 - 78% increase from median (\$575M)
- Hire or not lay off 1,900 more workers than a domestic firm
 - Almost double the size of labor force (2,000)

Source: Makhoul, Guedes Neto and Musacchio (WP, 2022).

Liability of Foreignness (LoF)

- Heterogeneity in the LoF
 - Representative US sample.
 - 3,010 participants x 2 firms x 5 types (foreign, price, labor, country of origin, private or public)
 - **Which one is your preferred acquirer?**
 - Average LoF effect of 16%,
 - Heterogeneity of LoF by country (geographical x cultural) varies from 9% up to 26%



Cultural by Geographic distance

T-test	Country	Point estimate	Std. Dev.	p-value	Diff. in coeff.	Std. Dev.	p-value
Canada - Mexico	CAN	-0.094	0.009	0.000	0.052	0.009	0.000
	MEX	-0.146	0.009	0.000			
Australia - China	AUS	-0.124	0.009	0.000	0.140	0.009	0.000
	CHN	-0.264	0.009	0.000			

Source: Makhoul, Guedes Neto and Musacchio (WP, 2022).

Key Takeaways

- Where should we go? **CAGE (Cultural, Administrative, Geographic, and Economic) Framework.**
 - In international management, fundamental to understand the “native point of view” (Malinowski, 1948)
 - Focusing only on the economic aspects of the host country is a flawed approach
 - Important to consider other distances that are relevant to the industry into analysis

Next Class

- Where should we go? **AAA Framework.**
 - Leveraging the benefits of international operations
 - Governance structures for international expansion
- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Minimizing opportunistic risks of *hold up*
 - Choosing the correct governance structure

Looking Ahead: Governance Structures

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start the quiz, you can't stop or start over
- **Next Class:**
 - Pankaj Ghemawat (2007). "Managing Differences: The Central Challenge of Global Strategy," Harvard Business Review 85(3): 58-68.
 - Oliver Williamson (1991). "Strategizing, Economizing, and Economic Organization," Strategic Management Journal 12 (Special Issue: Fundamental Research Issues in Strategy and Economics): 75-94.
 - Apple and Flextronics: Cam Simpson. "An iPhone Tester Caught in Apple's Supply Chain," Bloomberg Businessweek. November 7th, 2013.
 - Zara: Kasra Ferdows. Michael A. Lewis, and Jose A. D. Machuca (2004). "Rapid-Fire Fulfillment," Harvard Business Review, 82(11): 104-110.

QUESTIONS

- *What does the AAA framework stand for?*
- *What is the key "A" feature that Apple is operating in Southeast Asia? What is the risk of badly managing this feature?*
- *How could Zara outperform its competitors despite having a lower level of "arbitrage" than its competitors?*
- *Why does Zara's vertically integrated governance give it a competitive advantage over competitors?*



Thank you.

Leo Pongeluppe

pongelup@wharton.upenn.edu



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